

ARCTIS TECHNOLOGIES LTD.

Ticker: ARC:NSE | Listed: NSE & BSE

Q1 2024 Financial Results

Unaudited Consolidated Financial Statements | Period Ended March 31, 2024

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Q1 FY2024 AT A GLANCE

Total Revenue	EBITDA	Net Profit	EPS
■ 1,842 Cr ▲ 18.4% YoY	■ 412 Cr ▲ 21.2% YoY	■ 198 Cr ▲ 14.7% YoY	■ 16.50 ▲ 13.8% YoY

CHAIRMAN & CEO COMMENTARY

We are pleased to report a strong start to FY2024. Q1 results reflect the continued momentum in our Cloud Infrastructure and AI Services divisions, which together contributed 61% of total revenue. Enterprise deals signed in the quarter reached a record 47, with an average contract value of ■8.2 Cr. Our strategic pivot toward recurring SaaS revenues is yielding results, with Annual Recurring Revenue (ARR) growing to ■6,840 Cr — a 29% year-over-year increase.

Operating margins improved by 60 basis points driven by operational efficiencies in our delivery centres and a favourable product mix. We remain on track to achieve our full-year guidance of ■7,800–8,000 Cr in revenue.

— Rohan Mehta, Chairman & CEO, Arctis Technologies Ltd.

CONSOLIDATED PROFIT & LOSS STATEMENT

Particulars	Q1 FY2024 (■ Cr)	Q1 FY2023 (■ Cr)	YoY Change (%)
Revenue from Operations	1,842.3	1,555.6	+18.4%
Other Income	24.1	19.8	+21.7%
Total Income	1,866.4	1,575.4	+18.5%
Employee Benefit Expenses	892.5	760.3	+17.4%
Technology & Infrastructure	238.7	204.1	+16.9%
Sales & Marketing	142.3	128.7	+10.6%
General & Administrative	81.2	74.6	+8.8%
Total Expenses	1,354.7	1,167.7	+16.0%
EBITDA	411.8	339.7	+21.2%
Depreciation & Amortisation	98.4	87.2	+12.8%
EBIT	313.4	252.5	+24.1%
Finance Costs	18.2	22.1	-17.6%
Profit Before Tax (PBT)	295.2	230.4	+28.1%
Tax Expense	97.4	75.9	+28.3%
Net Profit After Tax (PAT)	197.8	154.5	+28.0%

SEGMENT-WISE REVENUE BREAKDOWN

Business Segment	Q1 FY2024 (■ Cr)	Q1 FY2023 (■ Cr)	% of Revenue	YoY Growth
Cloud Infrastructure Services	642.8	498.3	34.9%	+29.0%
AI & Data Analytics Platform	480.5	358.7	26.1%	+34.0%
Enterprise SaaS Products	388.2	342.1	21.1%	+13.5%
Managed IT Services	218.4	209.6	11.9%	+4.2%
Professional Services	112.4	146.9	6.1%	-23.5%
Total Revenue	1,842.3	1,555.6	100.0%	+18.4%

CASH FLOW SUMMARY

Cash Flow Item	Q1 FY2024 (■ Cr)	Q1 FY2023 (■ Cr)
Operating Cash Flow	284.6	218.3
Capital Expenditure	(62.4)	(58.1)
Free Cash Flow	222.2	160.2
Investing Activities	(112.8)	(98.4)
Financing Activities	(44.1)	(38.7)
Net Change in Cash	67.3	41.5
Closing Cash & Equivalents	1,248.6	987.4

OUTLOOK & GUIDANCE — FY2024

Management reaffirms its full-year FY2024 revenue guidance in the range of ■7,800–8,000 Cr, representing 16–19% growth over FY2023. EBITDA margins are expected to remain in the 22–24% band. Key growth catalysts include: (1) expansion of the AI & Data Analytics Platform to 3 new geographies (UAE, Singapore, UK), (2) launch of Arctis CloudEdge 3.0 scheduled for Q2, and (3) completion of strategic acquisition of DataNova Analytics Pvt. Ltd. pending regulatory approval.

DISCLAIMER: This document contains forward-looking statements based on current expectations. Actual results may differ materially from those projected. This report is for informational purposes only and pertains to a fictional company created for educational use. All figures are in Indian Rupees (Crores) unless stated otherwise.